

Notations :

- 1.Options shown in green color and with ✓ icon are correct.
- 2.Options shown in red color and with ✗ icon are incorrect.

Change Font Color :	No
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BDM

Section Id :	640653141005
Section Number :	1
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	22
Number of Questions to be attempted :	22
Section Marks :	50
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653396291
Question Shuffling Allowed :	No

Question Number : 1 Question Id : 6406532159006 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DIPLOMA LEVEL : BUSINESS DATA MANAGEMENT

(COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406537023015.  Yes

6406537023016.  No

Sub-Section Number :

2

Sub-Section Id :

640653396292

Question Shuffling Allowed :

Yes

Question Number : 2 Question Id : 6406532159007 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is the primary definition of '**needs**' in economics?

Options :

6406537023017.  Goods that enhance quality of life

6406537023018.  Essential requirements for survival and well-being such as food, clothing, and shelter

6406537023019.  Products people wish to buy but cannot afford

6406537023020.  Items available in unlimited supply

Question Number : 3 Question Id : 6406532159008 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following best describes the term '**insatiable wants**'?

Options :

6406537023021.  Wants that can be fully satisfied over time

6406537023022.  Wants that are limited in nature

6406537023023.  Unlimited human wants that are never fully satisfied

6406537023024.  Wants that are only driven by affordability

Question Number : 4 Question Id : 6406532159009 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Economics is best described as:

Options :

6406537023025.  The study of money and banking only

6406537023026. ✓ The science of constrained choices and allocation of scarce resources to meet unlimited human wants

6406537023027. ✗ A guaranteed path to business success

6406537023028. ✗ The study of government taxation

Question Number : 5 Question Id : 6406532159010 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following is an example of a '**free good**' in economics?

Options :

6406537023029. ✗ A loaf of bread

6406537023030. ✗ A bottle of mineral water

6406537023031. ✓ Air

6406537023032. ✗ A government-subsidized medicine

Question Number : 6 Question Id : 6406532159011 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Microeconomics focuses on:

Options :

6406537023033. ✗ The economy, including GDP and inflation

6406537023034. ✗ Government budget allocation at a national level

6406537023035. ✓ Smaller parts of the economy such as individual consumers and businesses

6406537023036. ✗ International trade policies

Question Number : 7 Question Id : 6406532159012 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following goods would most likely have inelastic demand?

Options :

6406537023037. ✗ Luxury handbags

6406537023038. ✗ Restaurant meals

6406537023039. ✗ Mobile phones

6406537023040. ✗ Branded clothing

6406537023041. ✓ None of these

Sub-Section Number :

3

Sub-Section Id :

640653396293

Question Shuffling Allowed :

Yes

Question Number : 8 Question Id : 6406532159013 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Amazon prime raises subscription prices and many subscribers cancel. This is an example of:

Options :

6406537023042. ✖ Inelastic demand, because many people cancelled

6406537023043. ✔ Elastic demand, because the quantity demanded responded substantially to the price change

6406537023044. ✖ Unit elastic demand, because the change in demand was proportional

6406537023045. ✖ Perfectly inelastic demand, because Amazon Prime is a necessity

Question Number : 9 Question Id : 6406532159014 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

In which of the below mentioned context is purchase volume is a better yardstick to differentiate than purchase value

Options :

6406537023046. ✖ In B2C and sometimes B2B

6406537023047. ✖ In B2B but not B2C

6406537023048. ✖ Both B2C and B2B

6406537023049. ✔ None of these

Question Number : 10 Question Id : 6406532159015 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The committee for IIT M BS Cultural Fest Paradox 2027 was formed. They decided to order newer hoodies, since there were a lot of student complaints on the product quality of hoodies that was sold earlier. A demand of 2000 hoodies was forecasted based on prior estimates. Each hoodie was to roughly cost 2000 rupees. Brand ASA was chosen as the new supplier. However, they were unable to make the customizations. Each customization (Name, Hoodie Number and IIT M logo) cost 200 rupees/ hoodie. AJB was selected as vendor to customize them. Given the expenses involved a committee was involved that monitored the purchases made. The buying situations here are

Options :

6406537023050. ✖ New task and straight rebuy

6406537023051. ✔ New task and modified rebuy

6406537023052. ✖ Modified rebuy and straight rebuy

6406537023053. ✖ Modified rebuy and new task

6406537023054. ✖ New task and new task

Question Number : 11 Question Id : 6406532159016 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

If the price of petrol increases by 10% and quantity demanded falls by only 3%, the PED ratio is approximately:

Options :

- 6406537023055. ✖ 3.33 — elastic
- 6406537023056. ✔ 0.3 — inelastic
- 6406537023057. ✖ 1.0 — unit elastic
- 6406537023058. ✖ 10.0 — perfectly elastic

Question Number : 12 Question Id : 6406532159017 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Which of the following correctly distinguishes '**wants**' from '**desire**' in economics?

Options :

- 6406537023059. ✖ Wants are unlimited; desires are limited
- 6406537023060. ✔ Wants enhance quality of life while desire is constrained by affordability — a person may desire something but lack the purchasing power to demand it
- 6406537023061. ✖ Desire is always backed by purchasing power; wants are not
- 6406537023062. ✖ Wants and desires are interchangeable terms in economics

Question Number : 13 Question Id : 6406532159018 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Suppose conflict escalates between the **US and Iran**. This conflict leads to a naval blockade in the Strait of Hormuz, a critical transit route through which 20% of the world's crude oil passes. At the same time, widespread panic drives regular consumers and commercial airlines to stockpile fuel out of fear that supplies will dry up by the following week. This sudden surge in panic buying, happening along with the supply disruption, creates a severe oil shortage.

How do these two events happening at the exact same time affect the global equilibrium price (P^*) and equilibrium quantity (Q^*) of crude oil?

Options :

- 6406537023063. ✖ Price will decrease; Quantity will increase.
- 6406537023064. ✔ Price will increase; Quantity change is uncertain
- 6406537023065. ✖ Price change is uncertain; Quantity will decrease.
- 6406537023066. ✖ Price will increase; Quantity will decrease.

Question Number : 14 Question Id : 6406532159019 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Assume, Apple launches its latest flagship iPhone-17. Simultaneously, two market forces occur: First, a **global semiconductor microchip shortage** severely limits manufacturing output due to trade deal tariff issues. Second, **Google launches an aggressive marketing campaign** during **2026 ICC Men's T20 World Cup**, that successfully convinces millions of premium smartphone users to switch to Android devices.

Assuming the drop in iPhone consumer demand is identical in magnitude to the drop in production supply, what will happen to the equilibrium price (P^*) and quantity (Q^*) of the new iPhone?

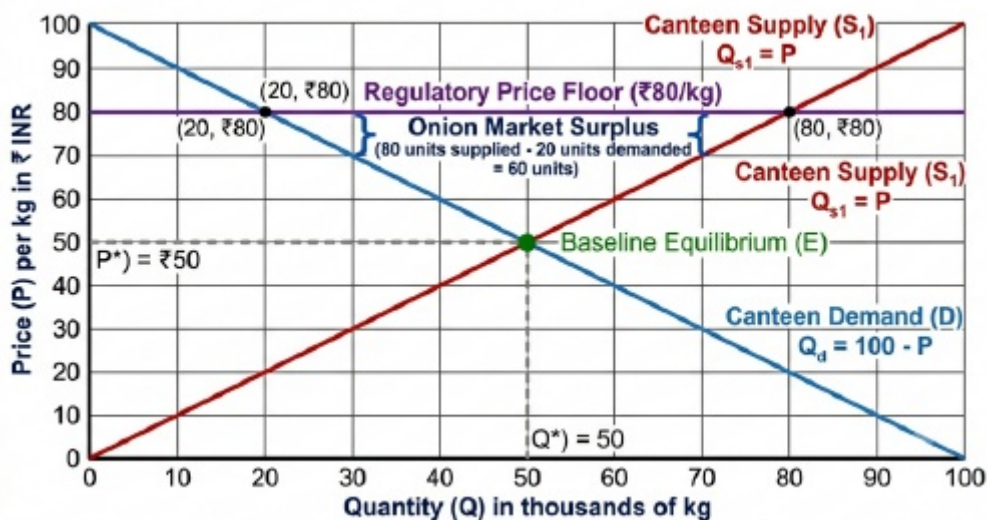
Options :

- 6406537023067. ✓ Price will remain unchanged; Quantity will decrease.
- 6406537023068. ✗ Price will increase; Quantity will remain unchanged.
- 6406537023069. ✗ Price will decrease; Quantity will decrease.
- 6406537023070. ✗ Price will remain unchanged; Quantity will increase.

Question Number : 15 Question Id : 6406532159020 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question



Use the above diagram as your geometric guide for the Question below

The student-run night canteen at IIT Madras faces a sudden supply shock due to a harvest failure in villages near Chennai, causing onion prices to rise. Baseline Equilibrium E is indicated by a green dot in the figure. Based on the graph, what is the initial equilibrium price (P^*) per kilogram and the total baseline revenue generated by the onion suppliers?

Options :

- 6406537023071. ✗ $P^* = ₹100$; Total Revenue = 0
- 6406537023072. ✗ $P^* = ₹80$; Total Revenue = ₹1,600
- 6406537023073. ✓ $P^* = ₹50$; Total Revenue = ₹2,500
- 6406537023074. ✗ $P^* = ₹50$; Total Revenue = ₹5,000

Sub-Section Number :

4

Sub-Section Id :

640653396294

Question Shuffling Allowed :

Yes

Question Number : 16 Question Id : 6406532159021 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Which of the following correctly distinguish microeconomics from macroeconomics?

- i) Microeconomics studies the impact of Trump tariffs on individual Indian businesses; Macroeconomics studies the impact on India's overall GDP and employment rate.
- ii) Microeconomics uses a top-down approach; Macroeconomics uses a bottom-up approach.
- iii) Macroeconomics focuses on how an IPL franchise allocates its budget across players.
- iv) Both micro and macroeconomics involve constrained choices and optimization under resource limitations.
- v) Micro refers to small or makro and Macro refers to large or mikro.

Options :

6406537023075. ✖ i, ii, iii, iv, v

6406537023076. ✖ i, iv, v

6406537023077. ✖ i, ii, v

6406537023078. ✖ i, iii, iv

6406537023079. ✔ None of these

Question Number : 17 Question Id : 6406532159022 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Agreements and contracts are higher in B2B mainly in comparison to B2C since

Options :

6406537023080. ✖ The customer is a business entity

6406537023081. ✖ The purchase volume is high

6406537023082. ✔ The purchase value is higher

6406537023083. ✖ Many people are involved in decision making

6406537023084. ✖ All of these

Question Number : 18 Question Id : 6406532159023 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

A farmer's association argues that '**good news for farming**' (a bumper crop/excellent harvest) can sometimes be '**bad news for farmers**' financially. Which economic concept best explains this paradox?

Options :

6406537023085. ✖ The Law of Supply — higher supply always increases revenue

6406537023086. ✔ Inelastic demand for agricultural produce — a large increase in supply causes a proportionately larger fall in price, reducing total revenue

6406537023087. ✖ Economies of scope — producing more variety increases costs

6406537023088. ✖ Elastic demand — consumers buy significantly more when prices fall, maintaining revenue

Sub-Section Number : 5
Sub-Section Id : 640653396295
Question Shuffling Allowed : No

Question Id : 6406532159024 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Question Numbers : (19 to 21)

Question Label : Comprehension

Mini Case Study

The Economics of a Campus Mess: How Price Controls Create Shortages In the IIT Madras campus

In the IIT Madras campus, "R-Goura's" is a private contract student dining mess that serves approximately 400 to 500 students per semester. At the beginning of each academic term, students register their preferences among 10 available campus messes. Due to high demand for certain dining options, a computerized random selection process finalizes students' allocation. R-Goura's distinguishes itself by offering a dynamic, rotating menu for a standard 4-course meal that is high in demand.

The Economic problems for R-Goura's Mess:

To provide financial predictability for students, the institute mandates that subscription rates are strictly fixed for the entire semester. R-Goura's cannot alter its prices in between semester (**Price inelastic**), regardless of fluctuations in commodity prices, supply chain disruptions, or shifts in student preferences .

Let us assume that at the start of the semester, the equilibrium price for a semester-long premium mess subscription under normal market conditions is calculated to be ₹15,000 per student. At this rate, exactly 450 students want to join, matching the mess's optimal operational capacity.

However, the student senate and administration cap the maximum allowable semester rate at ₹12,000 per student. Midway through the semester, a sudden surge in gas prices, wholesale vegetable and fuel prices happened due to US-Iran geopolitical tensions, resulting in a shift in the operational cost structures across campus.

Answer the subquestions based on your understanding of how supply, demand, and market equilibrium principles apply to this case study.

Sub questions

Question Number : 19 Question Id : 6406532159025 Question Type : MCQ
Correct Marks : 3

Question Label : Multiple Choice Question

Prior to the price cap, what was the natural equilibrium price (P^*) and equilibrium quantity (Q^*) of

students that R-Goura's would host without administrative intervention?

Options :

6406537023089. ✓ $P^* = ₹15,000$; $Q^* = 450$ students

6406537023090. ✗ $P^* = ₹16,500$; $Q^* = 420$ students

6406537023091. ✗ $P^* = ₹12,000$; $Q^* = 330$ students

6406537023092. ✗ $P^* = ₹14,000$; $Q^* = 470$ students

Question Number : 20 Question Id : 6406532159026 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Suppose the initial market demand function for the R-Goura's mess subscription per semester is given by $Q_d = 750 - 0.02P$, and the market supply function is $Q_s = -150 + 0.04P$, where P is the price in Rupees. If the administration sets a fixed price ceiling of ₹12,000 per semester, what is the resulting shortage (excess demand) of student slots?

Options :

6406537023093. ✗ 0 students (Market clears)

6406537023094. ✓ 180 students

6406537023095. ✗ 210 students

6406537023096. ✗ 150 students

Question Number : 21 Question Id : 6406532159027 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

If the administration decides to eliminate the random allocation and allows R-Goura's to adjust its price to clear the market after the commodity price inflation ($Q_{s2} = -270 + 0.04P$), what will be the new equilibrium price (P_{new}^*) to match the demand ($Q_d = 750 - 0.02P$)?

Options :

6406537023097. ✗ $P^* = ₹19,500$

6406537023098. ✗ $P^* = ₹16,000$

6406537023099. ✗ $P^* = ₹15,000$

6406537023100. ✓ $P^* = ₹17,000$

Sub-Section Number :

6

Sub-Section Id :

640653396296

Question Shuffling Allowed :

Yes

Question Number : 22 Question Id : 6406532159028 Question Type : MCQ

Correct Marks : 2.5

Question Label : Multiple Choice Question

Saturn solutions decided to replace their existing computing systems with high-speed computing devices. Their purchase department conducted market research and identified the top 4 vendors-

ABC, DEF, GHI and JKL, each being asked to submit their quotes also known as RFQ. This quote is based on

Options :

- 6406537023101. ✖ Problem recognition
- 6406537023102. ✖ General description of needs
- 6406537023103. ✖ Request for information
- 6406537023104. ✖ Problem recognition, General description of needs & Request for information
- 6406537023105. ✔ None of these

Question Number : 23 Question Id : 6406532159029 Question Type : MCQ

Correct Marks : 2.5

Question Label : Multiple Choice Question

The finance department of Saturn solutions had a total budget of 50 lakhs. They wanted a total of 50 laptops. All the vendors gave their best prices and there was no scope for further negotiation. While ABC quoted a price of 70,000 INR/ laptop, DEF, GHI and JKL quoted INR 95,000, 1 lakh and 1.1 lakh/ laptop respectively. Which vendor got eliminated and the role played by finance department was

Options :

- 6406537023106. ✖ JKL, Decision Making Unit
- 6406537023107. ✔ JKL, Gatekeepers
- 6406537023108. ✖ JKL, Influencers
- 6406537023109. ✖ JKL, Decision makers

Sub-Section Number :

7

Sub-Section Id :

640653396297

Question Shuffling Allowed :

Yes

Question Number : 24 Question Id : 6406532159030 Question Type : MCQ

Correct Marks : 5

Question Label : Multiple Choice Question

The DMU of Saturn solutions now had a tough job to do. They had to select one vendor out of the three choices they had (ABC or DEF or GHI). They decided to rate the three vendors. A total of 4 CSF/ KSF were chosen. Brand Image, Product Quality, Service Quality, and Market feedback. Equal weightage was allocated across the 4 KSFs. While GHI scored high on brand image, product quality and market feedback, they did poorly on service quality. DEF scored high on service quality but had moderate scores on the rest. ABC had moderate scores throughout. You need to rate them on a scale of 1-5, where 1 is the least score, 5 being the highest and 3 being moderate.

The final scores of ABC, DEF and GHI are

Options :

- 6406537023110. ✖ 4, 3.5 and 3
- 6406537023111. ✖ 3, 4 and 3.5
- 6406537023112. ✖ 3, 3.75 and 4

6406537023113. ✖ 3.5, 3 and 4

6406537023114. ✔ None of these